26VECV01335 26VECV01335

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-09-01

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CO%2C09%2F01%2F2026

Source SHA-256: d35c876db82f6f4a5fc1fc809b6f56d7e6911191142d6d180e5e8fc1fdbf17ff

Case Number: 26VECV01335 Hearing Date: September 1, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

RELAX FURNITURE DONGGUAN COMPANY LIMITED, a China business entity,

Plaintiff,

vs.

DODDY RAFIEHA, an individual; YAVAR RAFIEHA, an individual; and DOES 1 through 100, inclusive,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 26VECV01335

ORDER SUSTAINING DEFENDANTS' DEMURRER WITH LEAVE TO AMEND

ORDER DENYING DEFENDANTS' MOTION TO STRIKE

I. BACKGROUND

Plaintiff Relax Furniture Dongguan Company Limited ("Plaintiff") brings this action against Defendants Doddy Rafieha ("Doddy") and Yavar Rafieha ("Yavar") (jointly, "Defendants"). Plaintiff alleges Doddy is the Chief Operating Officer and Yavar the Chief Executive Officer of Abbyson Living, LLC ("Abbyson"). Plaintiff alleges it had an arrangement with Abbyson to produce its furniture on a purchase order basis. Plaintiff alleges Defendants represented to Plaintiff Abbyson could pay all purchase orders despite knowing they would be unable to due to Abbyson's financial condition. Plaintiff alleges Abbyson has not made any payments to Plaintiff.

Defendants now demurrer to and move to strike portions of the Complaint.

II. PROCEDURAL HISTORY

On March 5, 2026, Plaintiff filed a Complaint for (1) Fraud (Intentional Misrepresentation and Concealment); (2) Fraud (False Promise); and (3) Violations of Penal Code Section 496.

On June 16, 2026, the Court sustained Defendants' demurrer to the Complaint with leave to amend and denied Defendants' Motion to Strike as moot.

On June 30, 2026, Plaintiff filed a First Amended Complaint (“FAC”) alleging the same claims.

On August 3, 2026, Defendants filed the instant Demurrer and Motion to Strike.

On August 19, 2026, Plaintiff filed its Oppositions.

On August 25, 2026, Defendants filed their Replies.

III. MEET AND CONFER

Before filing a demurrer or motion to strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer or motion to strike for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (See Code Civ. Proc. § 430.41(a), §435.5(a).) A declaration must be filed with a demurrer regarding the results of the meet and confer process. (See Code Civ. Proc. § 430.41(a)(3).)

Defendants’ counsel attests he conferred with Plaintiff’s counsel by telephone. (See Declaration of John R. Bamford filed August 3, 2026, ¶ 3.) Thus, the Court finds Defendants complied with their statutory obligation to meet and confer.

///

///

IV. DEMURRER

A. Legal Standard

A demurrer may be brought if insufficient facts are stated to support the cause of action asserted. (See Code Civ. Proc. § 430.10(e).)[1] “[T]he court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded.”¿(Id.) Allegations are to be liberally construed. (See Code Civ. Proc. § 452.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (See Blank v. Kirwan¿(1985) 39 Cal.3d 311, 318.) To the extent factual allegations conflict with the content of the exhibits to the complaint, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits. (See Barnett v. Fireman's Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505.) A demurrer can only be sustained when it disposes of an entire cause of action.¿(See Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

¿Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court a pleading can be amended successfully. (See id.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

///

///

///

B. Analysis

1. Alter Ego or Personal Liability

Defendants demurrer to the entire Complaint on grounds Plaintiff fails to allege personal or alter ego liability.

“In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.” (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.) There is not a heightened pleading standard for alter ego theory; it is adequate for a plaintiff to allege “ultimate rather than evidentiary facts.” (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 236 [internal quotations and citation omitted].)

“To maintain a tort claim against a director in his or her personal capacity, a plaintiff must first show that the director specifically authorized, directed or participated in the allegedly tortious conduct or that although they specifically knew or reasonably should have known that some hazardous condition or activity under their control could injure plaintiff, they negligently failed to take or order appropriate action to avoid the harm. The plaintiff must also allege and prove that an ordinarily prudent person, knowing what the director knew at that time, would not have acted similarly under the circumstances.” (Frances T. V. Green Village Owners’ Ass’n. (1986) 42 Cal.3d 490, 508 [internal citations omitted].)

Defendants argue the FAC fails to cure the defect identified by the Court’s June 16, 2026, Order (“Order”) in that it realleges the exact same alter ego allegation that was previously found insufficient. (See Dem. at 3:3-5.) Second, Defendants argue the FAC also fails again for lack of personal liability allegations against them, as the FAC alleges their conduct was done in a representative capacity on behalf of Abbyson. (See id., at 4:24-5:5.) Defendants argue, absent alter ego allegations and a tort duty, Defendants may not be personally liable. (See id.)

Plaintiff argues it is not pursuing liability pursuant to the alter ego doctrine. Instead, Plaintiff argues Defendants are personally liable for engaging in fraud. (See Opp. at 5:12, 6:2-17 citing Frances T. v. Village Green Owners Assn. (1986) 42 Cal.3d 490, 503-04.) Plaintiff argues the FAC cures the defect identified in the Order as it now alleges specific facts, not solely allegations “on information and belief”, alleging Defendants’ personal participation in the fraud. (See Opp. at 7:3:25.)

In Reply, Defendants argue the FAC’s allegations do not satisfy two requirements set forth in Frances T. for maintaining a tort claim against a director in his personal capacity. (See Reply at 3:7-18, citing Frances T., supra, 42 Cal.3d at 508.)

Although the FAC contains one alter ego alter ego allegation, Plaintiff concedes it is not pursuing that theory to sustain its FAC. Thus, deficient alter ego allegations are not a reason to sustain the instant demurrer. The Court will address the issue of the sufficiency of the personal liability allegations under the individual causes of action below. As explained in further detail below in the context of every cause of action, the Court will find the personal liability allegations are insufficient.

2. Economic Loss Rule

“[T]he economic loss doctrine applies when the parties have entered into a contract; the plaintiff sues for tort damages, alleging defendant failed to perform as the contract requires; and negligently caused economic losses flowing from the breach. In such a case, plaintiffs are generally limited to recovery of those economic damages and cannot seek to expand their remedies beyond those available in contract. The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the contract, but from a separate, legally recognized tort obligation." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 44; Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923 [tort claims are barred by the economic loss rule when they arise from, or are not independent of, the contract].)

Defendants argue all claims are barred by the economic loss rule as set forth in Erlich v. Menezes (1999) 21 Cal.4th 543, 551-552, and Rattagan. Defendants argue the Court previously reasoned the economic loss rule did not bar the claims because there was no contract alleged between Plaintiff and Defendants and absent alter ego, there was "no operative contract involving Defendants for the Court to apply the economic loss rule to." (Dem. at 5:19-28.) Defendants contend this reasoning should not control again because the FAC alleges a contract between Abbyson and Plaintiff and Plaintiff's damages consist solely of the contract price. (See id.)

Plaintiff argues the economic loss rule does not apply because the FAC does not allege a contract between itself and Defendants and the economic loss rule does not bar claims for fraud. (See Opp. at 12:12-15.)

The Court agrees with Plaintiff on both points and does not deviate from its reasoning in its prior Order. (See Order at 8:22-9:2.) The Court adds the economic loss rule Defendants seek to invoke "involves parties who are in contractual privity", which is not the case here as Defendants are not contractual parties. (See FAC, ¶¶ 11, 14; see also Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923.) Moreover, even if Defendants were contractual parties, "the California Supreme Court's decision in Robinson precludes the application of the economic loss rule to any intentional affirmative fraud action." (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 328, discussing Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979; Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 840 ["concealment-based claims for fraudulent inducement are not barred by the economic loss rule."]; Rattagan, 17 Cal.5th at 44 [where "plaintiff sues a contractual party for fraud based on conduct committed during the course of a contractual relationship falls outside the economic loss doctrine."].)

Thus, the Court OVERRULES Defendants' Demurrer to the FAC on grounds that it is barred by the economic loss rule.

3. First Cause of Action – Fraud (Intentional Misrepresentation and Concealment)

"The elements of a cause of action for intentional misrepresentation are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another's reliance on the misrepresentation, (4) actual and justifiable reliance, and (5) resulting damage." (Daniels v. Select Portfolio Servicing, Inc. (2016) 246 Cal.App.4th 1150, 1166.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) Plaintiff's pleadings must allege facts as to "how, when, where, to whom, and by what means the representations were tendered." (See Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Fraud by concealment requires: (1) the defendant concealed or suppressed a material fact; (2) defendant had a duty to disclose the fact to plaintiff; (3) defendant intentionally concealed or suppressed the fact with intent to defraud plaintiff; (4) plaintiff must have been unaware of the fact and would have acted otherwise if she had known of the concealed fact; and (5) plaintiff suffered damage as a result of the concealment. (See Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248.) In cases claiming fraud through non-disclosure, it's not practical to allege facts showing how, when and by what means something did not happen. (See Alfaro v. Community Housing Improvement System Planning Assn. (2009) 171 Cal.App.4th 1356, 1384.) Instead, a claim of fraud based on nondisclosure may arise, "when one party to a transaction has sole knowledge or access to material facts and knows that such facts are not known to or reasonably discoverable by the other party." (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 347.)

There are “four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material fact.” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.) “[The latter] three circumstances in which nondisclosure may be actionable presupposes the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise…. such a relationship can only come into being as a result of some sort of transaction between the parties. [Citations.] Thus, a duty to disclose may arise from the relationship between seller and buyer…or parties entering into any kind of contractual agreement.” (Id. [emphasis in original].) A duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1198, 1199.) “Even where no duty to disclose would otherwise exist, ‘where one does speak he must speak the whole truth to the end that he does not conceal any facts which materially qualify those stated. [Citation.] One who is asked for or volunteers information must be truthful, and the telling of a half-truth calculated to deceive is fraud.’” (Vega v. Jones, Day, Reavis & Pogue (2004) 121 Cal.App.4th 282, 292.)

Defendants first argue the fraud claim fails to allege justifiable reliance past May 7, 2024, when the FAC alleges Defendants began to fail to pay for the purchase orders. (See Dem. at 6:21-24.) Second, Defendants argue the FAC continues to fail to allege a duty to disclose based on a transactional relationship as the FAC lacks allegations Defendants were parties to or the alter ego of a party to the agreement with Abbyson. (See id., at 7:27-1.) Third, Defendants argue the FAC lacks specificity because although the FAC specifically pleads individual conduct at paragraphs 19-22, the operative fraud paragraphs of who concealed what at paragraphs 34-38 do not. (See id., at 8:3-9.)

Plaintiff argues whether its reliance was reasonable is a question of fact. (See Opp. at 8:3-13, citing All. Mortg. Co. v. Rothwell (1995) 10 Cal.4th 1226, 1239, and OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 865.) Second, Plaintiff argues the FAC alleges a duty to disclose based on Defendants’ exclusive knowledge of Abbyson’s insolvency. (See Opp. at 9:18-28.) Plaintiff also argues Defendants’ promises of payment were half-truths giving rise to a duty to disclose under Vega v. Jones, Day, Reavis & Pogue (2004) 121 Cal.App.4th 282, 292.

Defendants reassert their justifiable reliance arguments. (See Reply at 5:11-14.) Defendants also argue Plaintiff has not alleged a transaction between Defendants and Plaintiff to support a duty to disclose as required by LiMandri. (See Reply at 6:19-22.)

The Court finds the FAC alleges justifiable reliance as required to state its intentional misrepresentation claim. First, the Court’s prior Order found Plaintiff’s original complaint made only conclusory allegations of justifiable reliance. (See Order at 11:12-13.) The FAC cures this defect by removing allegations made on information and belief and adding “[Plaintiff] had no reason to distrust Defendants’ representations, and no information available to it showing Abbyson would not or could not pay for the furniture ordered. In fact, Relax Furniture had a history of successful business dealings with Abbyson’s founder (Defendants’ father) in the past.” (FAC, ¶ 39.) This allegation, together with recurring promises of imminent payment, sufficiently alleges justifiable reliance. (See id., ¶¶ 16-17, 19-22.) Second, Defendants concede the FAC alleges justifiable reliance, although only up to a certain date. Whether Plaintiff’s reliance was justified or it can recover damages beyond the date Defendants contend no justifiable reliance exists, is a question of fact that cannot be resolved at the pleadings stage. (See Grisham v. Philip Morris U.S.A., Inc. (2007) 40 Cal.4th 623, 637.) Thus, the intentional misrepresentation claim alleges the justifiable reliance element.

Additionally, Defendants’ argument the FAC lacks specificity and its first fraud claim therefore is insufficient is unavailing. As Defendants acknowledge, the FAC pleads specific communications attributable to Yavar or Doddy which are incorporated into the first cause of action. (See FAC, ¶¶ 16, 19-22.) These allegations satisfy the requisite level of specificity.

The FAC also sufficiently alleges duty to disclose as required to allege its concealment claim. Previously the Court found Plaintiff failed to allege a duty to disclose under Vega because the Complaint lacked supporting factual allegations for its allegations Defendants knew their representations were false based on their exclusive knowledge of Abbyson’s financial condition. (See Order at 13:8-13.) Because the FAC removes the “on information and belief” allegations, the FAC sufficiently cures the previously identified defect and alleges a duty to disclose under Vega. (See FAC, ¶ 7, 11, 13-15, 18.)[2]

Finally, there is one defect as to personal liability. The Court's prior Order found "Plaintiff insufficiently allege[d] personal liability against Defendants because the material allegations are pled on information and belief." (Order at 6:16-17.) The FAC cures this defect as its material allegations Defendants' directed or participated in the alleged fraud as Abbyson's representatives are no longer pled on information and belief. (See, e.g., FAC, ¶¶ 2-3, 7, 10, 13-14, 18, 23-24.) However, as Defendants point out, the FAC fails to allege the second pleading requirement for personal liability, "that an ordinarily prudent person, knowing what the director knew at that time, would not have acted similarly under the circumstances." (Frances T., 42 Cal.3d at 508-09.) Thus, the FAC insufficiently alleges its first cause of action against Defendants in a personal capacity.

Thus, the Court SUSTAINS Defendants' Demurrer to the First Cause of Action for Fraud (Intentional Misrepresentation and Concealment) WITH LEAVE TO AMEND.

4. Second Cause of Action – Fraud (False Promise)

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) To allege defendants made a misrepresentation in a promissory fraud claim, a plaintiff must allege "(1) the defendant made a representation of intent to perform some future action, i.e., the defendant made a promise, and (2) the defendant did not really have that intent at the time that the promise was made, i.e., the promise was false." (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1060 [emphasis added].) Promissory fraud is "fraud or deceit based on a promise made without any intention of performing it." (Behnke v. State Farm General Ins. Co. (2011) 196 Cal.App.4th 1443, 1453; see also Civ. Code, § 1710(4).)

Defendants argue this claim insufficiently alleges justifiable reliance for the same reasons set forth above. (See Dem. at 8:11-16; Reply at 7:4-8.) Plaintiff argues it sufficiently alleges justifiable reliance. (See Opp. at 11:2.)

For the same reasons set forth above, the Court finds the FAC sufficiently alleges justifiable reliance. However, as with the first fraud claim, the second claim is insufficiently alleged against Defendants on a personal capacity. (Frances T., 42 Cal.3d at 508-09.)

Thus, the Court SUSTAINS Defendants' Demurrer to the Second Cause of Action for (False Promise) WITH LEAVE TO AMEND.

5. Third Cause of Action – Violation of Penal Code § 496(a)

The elements for violation of Penal Code § 496 are: (1) property was stolen or obtained in a manner constituting theft or extortion; (2) defendant knew the property was so stolen or obtained; and (3) defendant received or had possession of the stolen property. (See Switzer v. Wood (2013) 35 Cal.App.5th 116, 126, 129 ["the statute makes no exception for cases involving preexisting business relationships…."]; See Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333, 351 ("'Penal Code section 484, subdivision (a) describes the acts constituting theft to include theft by false pretense, which is the consensual but fraudulent acquisition of property from its owner…. [The defendant] was found liable for fraud, i.e., for the fraudulent acquisition of property (money) from its owner….'"]; Bell v. Feibush (2013) 212 Cal.App.4th 1041, 1049 [upholding civil liability under Penal Code section 496].)

Defendants argue the FAC alleges nonperformance, not theft under Penal Code § 496. (See Dem. at 9:10-14.)

Plaintiff argues it cured the previous defect by removing "on information and belief" allegations. (See Opp. at 11:4-7.) Plaintiff also argues it sufficiently pleads fraud to sustain its Penal Code § 496 claim. (See id., at 11:14-15.)

The Court agrees the FAC cures the “on information and belief” allegations defect and instead supplies supporting factual allegations. As the Court found above, Plaintiff sufficiently pleads its fraud claims to allege the first element of its Penal Code § 496 claim. However, this claim also suffers from the same defect discussed above in that the FAC fails to plead the second element for personal liability against Defendants.

Thus, the Court SUSTAINS Defendants’ Demurrer to the Third Cause of Action for Violation of Penal Code § 496(a) WITH LEAVE TO AMEND.

///

V. MOTION TO STRIKE

A. Legal Standard

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (See Code Civ. Proc. § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (See id. at § 436(b).) This provision is for “the striking of a pleading due to improprieties in its form¿or in the procedures¿pursuant to which it was filed.”¿ (Ferraro v. Camarlinghi¿(2008) 161 Cal.App.4th 509, 528 [emphasis in original].) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (See Code Civ. Proc. at § 437.)¿

B. Analysis

The Motion to Strike is DENIED as moot as the Court has sustained Defendants’ Demurrer.

VI. CONCLUSION

Based on the foregoing, the Court SUSTAINS Defendants’ Demurrer to the Complaint WITH LEAVE TO AMEND.

The Court DENIES Defendants’ Motion to Strike as moot.

Plaintiff has leave to file an amended complaint by no later than September 15, 2026.

IT IS SO ORDERED.

DATED: September 1, 2026

Hon. Michael R. Amerian

Judge, Superior Court

[1] All statutory references are to California codes unless stated otherwise.

[2] Although it doesn't affect the Court's conclusions here in light of Plaintiff's amendments to its original complaint, upon re-reading LiMandri, the Court believes it too strictly construed LiMandri's definition of what constituted a transactional relationship to require an actual contractual relationship, hence its conclusion that alter ego allegations were necessary to connect the Defendants to Abbyson's contract with Plaintiff as opposed to merely a transactional relationship which would not, in turn, require privity in contract.